Frequently Asked Questions

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FAQs on TAN

What is TAN?

TAN or Tax Deduction and Collection Account Number is a unique ten-digit alpha-numeric number required to be obtained by all persons who are responsible for deducting or collecting tax. Under Section 203A of the Income Tax Act, 1961, it is mandatory to quote Tax Deduction Account Number (TAN) allotted by the Income Tax Department (ITD) on all TDS statements.

To facilitate deductors find their new TAN, ITD has now introduced a search facility on their website (www.incometaxindia.gov.in). Through this facility, deductors can search on name and old TAN to find the new TAN. Deductors are advised to find new TAN from this site before it is incorporated in their e-TDS statement to avoid any inconvenience at the time of furnishing e-TDS statements.

For more information, visit TIN.

Who must apply for TAN?

Every person liable to deduct tax at source or collect tax at source is required to obtain TAN. However, a person required to deduct tax under section 194IA orsection 194-IB or section 194M or Section 194S (by specified person) can use PAN in place of TAN as such person is not required to obtain TAN.

(1) Section 194IA provides for deduction of tax at source from payment on transfer of certain immovable property other than agricultural land.

(2) section 194-IB provides for deduction of tax at source at the rate of 2% from payment of rent. The tax shall be deducted if the rent paid or payable exceeds Rs. 50,000 per month or part of the month. This provision is applicable on individual and HUF, who is not liable to tax audit under Section 44AB in the immediately preceding financial year.

(3) section 194M provide for deduction of tax at source at the rate of 2% on the sum paid or credited, to a resident, on account of contractual work, commission (not being insurance commission referred to in section 194D), brokerage or professional fees, by an individual or a HUF, if aggregate of such sum exceeds Rs. 50 lakhs in a financial year. This provision is applicable on individual and HUF, who are not covered under section 194C, section 194H and section 194J.

(4) Section 194S provides for deduction of tax at source from payment on transfer of Virtual Digital Asset.

Why is it necessary to have TAN?

As per section 203A of the Income-tax Act, 1961, every person who deducts or collects tax at source has to apply for the allotment of TAN. Section 203A also makes it mandatory to quote TAN in TDS/TCS return (including any e-TDS/TCS return), any TDS/TCS payment challan, TDS/TCS certificates and other documents as may be prescribed. As per section 272BB, failure to apply for TAN or not quoting the TAN in the specified documents attracts a penalty of Rs. 10,000/-.

How to apply for TAN?

There are two modes for applying for TAN: (1) Online mode and (ii) Offline mode, they are as follows:

OFFLINE—An application for allotment of TAN is to be filed in Form 49B in duplicate and submitted to any TIN Facilitation Centres (TIN-FC). Addresses of TIN-FCs are available at Protean-TIN website (https://tinpan.proteantech.in).

In case of an applicant, being a company which has not been registered under the Companies Act, 2013, the application for allotment of Tax Deduction Account Number may be made in Form No. SPICe (INC-32) specified under sub-section (1) of section 7 of the said Act for incorporation of the company.

ONLINE—Online application for TAN can be made from the Protean-TIN website.

Addresses of the TIN FC are available at www.incometaxindia.gov.in or https://tinpan.proteantech.in.

Who will allot TAN?

TAN is allotted by the Income Tax Department on the basis of the application submitted to TIN Facilitation Centres (TIN-FC) managed by Protean. Protean will intimate the TAN which will be required to be mentioned in all future correspondence relating to TDS/ TCS.

Can an online application be made for allotment of TAN?

Yes. The application can be made online through https://www.protean-tinpan.com/

Can an application for TAN be made on a plain paper?

No. TAN Application can be made only on Form 49B. The application form can be downloaded from the website of the Income Tax Department (www.incometaxindia.gov.in) or Protean (https://www.protean-tinpan.com/) or obtained from any other source. The application is also available at TIN Facilitation Centres.

Can form 49B be filled on a typewriter?

Yes. But typing should be in capital letters with good impression.

What are the documents that need to accompany the TAN application?

>No documents are required to be accompanied with Form 49B i.e. the application for allotment of TAN. However, where the application is being made online, the acknowledgment which is generated after online filling up the form will be required to be forwarded to Protean. Detailed guidelines for the submission of application are available at https://www.protean-tinpan.com/

What if incomplete form 49B is submitted?

The TIN Facilitation Centre will assist the applicant to correctly fill up Form 49B but incomplete or deficient application will not be accepted.

What is the fee for filing application for TAN?

Currently the fee for filing the TAN application is Rs.55/- + GST as applicable (the application fees may change from time to time).

How will the new TAN be intimated to the deductor?

Protean will ensure intimation of new TAN at the address indicated by the applicant in Form 49B

How can a deductor know his TAN if he has an old TAN, or if he has earlier applied for TAN but hasn't got TAN?

TIN Facilitation Centres will help the deductors in ascertaining their correct TAN from the database. TAN can also be verified from the information on the website of Income Tax Department at www.incometaxindia.gov.in . Using the "Know Your TAN" facility at www.incometaxindia.gov.in or https://www.incometax.gov.in/iec/foportal the deductor can know his TAN.

After making the application for allotment of TAN in Form 49B, how to know the status of the application?

The status of TAN application can he checked by using the "Track your PAN/TAN Application Status" from www.incometaxindia.gov.in or https://www.protean-tinpan.com/.

Is it necessary to apply for different TAN if a deductor has to deduct tax from different types of payments like salary, interest, dividend, commission, etc.?

No. TAN once allotted can be used for all type of deductions. It can also be used in case tax is being collected at source.

Is a separate TAN required to be obtained for the purpose of tax collection at source?

In case a TAN has already been allotted for the purpose of tax deduction at source (TDS), then no separate application needs to be made for obtaining separate TAN for the purpose of tax collection at source (TCS). The same number can be quoted in all returns, challans and certificates for TCS. However, if no TAN has been allotted, a duly filled in Form 49B, along with the application fees is to be submitted at any TIN-FC.

Should Government deductors apply for TAN?

Yes

In case of multiple DDOs, should all of them apply for TAN?

Yes. In such a case, the name of the Division, name and location of branch or the designation of the person responsible for deducting/collecting tax, whichever is applicable, should be clearly given in the application for allotment of TAN.

Can branches of companies/banks have separate TANs?

Yes. In such a case, the name and location of branch or the designation of the person responsible for deducting/collecting tax, whichever is applicable, should be clearly given in the application for allotment of TAN

Can an e-TDS return be filed without TAN or in case TAN has not been alloted?

Quoting of TAN is mandatory in TDS and TCS returns, whether filed in paper or electronic format. The returns, whether in paper or electronic format, will not be received in case TAN is not quoted.

What is duplicate TAN?

Duplicate TAN is a TAN which has been inadvertently obtained by a same person who is responsible for deducting/collecting tax and who already has a TAN allotted to him earlier. In other words, more than one TAN issued to a person is called duplicate TAN. It is illegal to possess or use more than one TAN. Different branches/divisions of an entity may, however, have separate TAN.

In case duplicate TAN has been allotted, which TAN should be used?

In case duplicate TAN(s) have been allotted to a person, then the TAN which has been used regularly should be used. The other TAN(s) should be surrendered for cancellation by using "Form for Changes or Correction in TAN" which can be downloaded from the website of Protean (https://www.protean-tinpan.com/).

What do we have to do if we have been allotted a duplicate TAN by oversight?

In case duplicate TAN has been allotted, an application should be made for cancellation of the TAN which has not been used. Application for cancellation of TAN is to be made in the "Form for Changes or Correction in TAN" which can be downloaded from the

website of Protean(https://www.protean-tinpan.com/) or obtained from any other source. The application is also available at TIN Facilitation Centres.

Can we quote Permanent Account Number (PAN) in place of TAN?

No. PAN should never be quoted in the field where TAN is required to be quoted. The purposes for which PAN and TAN are allotted are different. TAN is a unique identification number which is allotted to persons who are required to deduct tax at source or collect tax at source.

PAN is a unique identification number issued to keep a linking of the transactions carried by a person like payment of tax, TDS/TCS credit, return of income, return of wealth, correspondence with the Income Tax Department or correspondence by the Income Tax Department, investments made by a person, loan taken by a person, etc. However, a person required to deduct TDS as per section 194IA or section 194IB or section 194M, or section 194S can use PAN in place of TAN.

How can any change in address or details on the basis of which TAN was allotted be rectified?

If there is any change in the data provided in the application for allotment of TAN (*i.e.* data provide at the time of allotment of TAN), then such change is to be communicated to the Income Tax Department by intimating the change in , the "Form for Change or Correction in TAN data". Duly filed form should be submitted to the TIN Facilitation Centres or an online application can be made at https://www.protean-tinpan.com/

FAQs on Permanent Account Number

What is PAN?

PAN stands for Permanent Account Number. PAN is a ten-digit unique alphanumeric number issued by the Income Tax Department. PAN is issued in the form of a laminated plastic card (commonly known as PAN card). Given below is an illustrative PAN:

ALWPG5809L

What is the utility of PAN?

PAN enables the department to link all transactions of the assessee with the department. These transactions include tax payments, TDS/TCS credits, returns of income, specified transactions, correspondence and so on. It facilitates easy retrieval of information of assessee and matching of various investments, borrowings and other business activities of assessee.

What are the benefits of obtaining a Permanent Account Number [PAN] and PAN Card?

A Permanent Account Number has been made compulsory for every transaction with the Income-tax Department. It is also mandatory for numerous other financial transactions such as opening of bank accounts, in bank account, deposit of cash in bank account, opening of Demat account, transaction of immovable properties, dealing in securities, etc. A PAN card is a valuable means of photo identification accepted by all Government and non-Government institutions in the country.

How PAN is formed and how it gets its unique identity?

PAN is a ten-digit unique alphanumeric number issued by the Income Tax Department. The formation of PAN is discussed below :

- Out of the first five characters, the first three characters represent the alphabetic series running from AAA to ZZZ. (***E.g.*** **ALW**PG5809L).
- The fourth character of PAN represents the status of the PAN holder (***E.g.*** ALW**P**G5809L).
  "A" stands for Association of Persons (AoP)
  "B" stands for Body of Individuals (BOI)

  "C" stands for Company

  "F" stands for Firm/Limited Liability Partnership

  "G" stands for Government Agency

  "H" stands for Hindu Undivided Family (HUF)

  "J" stands for Artificial Juridical Person

  "L" stands for Local Authority

  "P" stands for Individual

  "T" stands for Trust

- Fifth character of PAN represents the first character of the PAN holder's last name/ surname in case of an individual. In case of non-individual PAN holders fifth character represents the first character of PAN holder's name (***E.g.*** ALWP**G**5809L)
- Next four characters are sequential numbers running from 0001 to 9999 (***E.g.*** ALWPG**5809**L).
- Last character, *i.e.*, the tenth character is an alphabetic check digit (***E.g.*** ALWPG5809**L**).

  The combination of all the above items gives the PAN its unique identity.

Who has to obtain PAN?

PAN is to be obtained by following persons:

- Every person if his total income or the total income of any other person in respect of which he is assessable during the previous year exceeds the maximum amount which is not chargeable to tax.
- A charitable trust who is required to furnish return under Section 139(4A)
- Every person who is carrying on any business or profession whose total sale, turnover, or gross receipts are or is likely to exceed five lakh rupees in any previous year
- Every person who intends to enter into specified financial transactions in which quoting of PAN is mandatory

Every non-individual resident persons and person associated with them if the financial transaction entered into by such non-individual resident persons during a financial year exceeds Rs. 2,50,000.

Note: Persons associated with non-individual resident persons means the managing director, director, partner, trustee, author, founder, karta, chief executive officer, principal officer or office bearer of the non-individual resident persons or any person competent to act on behalf of such persons.

A person not covered in any of the above can voluntarily apply for PAN.

What are the specified financial transactions in which quoting of PAN is mandatory?

As per rule 114B, following are the transactions in which quoting of PAN is mandatory by every person except the Central Government, the State Governments and the Consular Offices:

1. Sale or purchase of a motor vehicle or vehicle other than two wheeled vehicles.
2. Opening an account [other than a time-deposit referred at point No. 12 and a Basic Savings Bank Deposit Account] with a banking company or a co-operative bank
3. Making an application for issue of a credit or debit card.
4. Opening of a demat account with a depository, participant, custodian of securities or any other person with SEBI
5. Payment in cash of an amount exceeding Rs. 50,000 to a hotel or restaurant ag ainst bill at any one time.
6. Payment in cash of an amount exceeding Rs. 50,000 in connection with travel to any foreign country or payment for purchase of any foreign currency at any one time.
7. Payment of an amount exceeding Rs. 50,000 to a Mutual Fund for purchase of its units
8. Payment of an amount exceeding Rs. 50,000 to a company or an institution for acquiring debentures or bonds issued by it.
9. Payment of an amount exceeding Rs. 50,000 to the Reserve Bank of India for acquiring bonds issued by it.
10. Deposit with a banking company or a co-operative bank:-
    i. Cash exceeding Rs. 50,000 during any one day; or
    ii. Cash deposit of aggregating to more than Rs. 2,50,000 during the period 09th November, 2016 to 30th December, 2016
11. Payment in cash for an amount exceeding Rs. 50,000 during any one day for purchase of bank drafts or pay orders or banker's cheques from a banking company or a co-operative bank.
12. A time deposit of amount exceeding Rs. 50,000 or aggregating to more than Rs. 5 lakh during a financial year with -
    i. a banking company or a co-operative bank
    ii. a Post Office;
    iii. a Nidhi referred to in section 406 of the Companies Act, 2013 or
    iv. a non-banking financial company
13. Payment in cash or by way of a bank draft or pay order or banker's cheque of an amount aggregating to more than Rs. 50,000 in a financial year. for one or more pre-paid payment instruments, as defined in the policy guidelines for issuance and operation of pre-paid payment instruments issued by Reserve Bank of India under section 18 of the Payment and Settlement Systems Act, 2007 to a banking company or a co-operative bank or to any other company or institution.
14. Payment of an amount aggregating to more than Rs. 50,000 in a financial year as life insurance premium to an insurer
15. A contract for sale or purchase of securities (other than shares) for amount exceeding Rs. 1 lakh per transaction
16. Sale or purchase, by any person, of shares of a company not listed in a recognised stock exchange for amount exceeding Rs. 1 lakh per transaction.
17. Sale or purchase of any immovable property for an amount exceeding Rs. 10 lakh or valued by stamp valuation authority referred to in section 50C of the Act at an amount exceeding ten lakh rupees.
18. Sale or purchase of goods or services of any nature other than those specified above for an amount exceeding Rs. 2 lakh per transaction.

NOTE:

- Minor person can quote PAN of his father or mother or guardian provided he does not have any income chargeable to income-tax.
- Any person, who does not have PAN and enters into any of above transaction, can make a declaration in Form No.60.
- Form No.60 transaction, can make a declaration in chargeable to income-tax.

How does Income Tax Department ensure that PAN is quoted on transactions in which quoting of PAN is mandatory?

It is statutory responsibility of a person receiving document relating to economic or financial transactions notified by the Central Board of Direct Taxes (CBDT) to ensure that PAN has been duly quoted in the documents in which quoting of PAN is mandatory. Thus, the receiver of these documents will ensure that PAN is quoted in the respective document. E.g. PAN is necessary to open a bank account and hence the Bank will ensure that the applicant has quoted his PAN at the time of applying for bank account.

Can I file my return of income without quoting PAN?

It is mandatory to quote PAN on the return of income. Apart from return of income, PAN is also to be quoted in all challans for making payment of tax, correspondence with the Income Tax Department, etc.

However, w.e.f., 01-09-2019, every person who has been allotted a PAN, and who has linked his Aadhaar number with PAN as per section 139AA, may furnish his Aadhaar number in lieu of a PAN for all the transactions where quoting of PAN is mandatory as per Income-tax Act. Thus, with effect from September 1, 2019, an assessee can file his return of income by quoting his Aadhaar number instead of quoting PAN.

How to apply for PAN?

PAN application can be filled up in the following forms -

1. Form 49A (for Indian Citizens)
2. Form 49AA (for Foreign Citizens)

PAN application can be made either online through Protean website https://tinpan.proteantech.in or through any of the Protean TIN-Facilitation Centres/ PAN Centres (Click here to select the nearest TIN – Facilitation Centers/ PAN centres where PAN application may be submitted).

While submitting PAN application form, applicant will have to indicate whether physical PAN card or E-PAN card is required.

If applicant opts for physical PAN Card, then physical PAN card will be printed & dispatched at communication address.

If the physical PAN Card is not required. In such cases, email ID will be mandatory & e-PAN Card in PDF format will be sent to the PAN applicant at the email ID mentioned in PAN application form. Physical PAN Card will not be dispatched in such cases.

In case of an applicant, being a company which has not been registered under the Companies Act, 2013, the application for allotment of a Permanent Account Number is to be made in Form No. SPICE-INC-32 specified under sub-section (1) of section 7 of the said Act for incorporation of the company. (Application for TAN is also to be made

through SPICE-INC-32)

Every person who is eligible to obtain Aadhaar number shall quote either Aadhaar number or enrolment ID of Aadhaar application form in the PAN application form. However, w.e.f. 01-10-2024, the benefit of quoting enrolment ID of Aadhaar form has been withdrawn. The taxpayer is required to quote his Aadhaar number in PAN application Form.

Is it mandatory to link Aadhaar number with PAN?

The Finance Act, 2017 had inserted a new Section 139AA in the Income-tax Act, 1961, requiring every person who is eligible to obtain Aadhaar to quote his Aadhaar number while applying for PAN or furnishing return of income with effect from July 1, 2017. If any person does not possess the Aadhaar Number but he had applied for the Aadhaar card then he can quote Enrolment ID of Aadhaar application Form in the ITR. However, w.e.f. 01-10-2024, the benefit of quoting enrolment ID has been withdrawn. Person is required to quote his Aadhaar number in PAN application/ITR Form.

Section 139AA further provides that every person who has been allotted PAN as on the 1st day of July, 2017, and who is eligible to obtain Aadhaar number shall intimate his Aadhaar number on or before 31-03-2022 to the Income-tax Department. In case of failure to intimate the Aadhaar number, PAN allotted to the person shall be made inoperative after the date so notified.

The CBDT vide Notification No.17/2022 dated 29-03-2022 notified that all the consequences provided under the Income-tax Act for not furnishing, intimating or quoting PAN shall come into effect from 01-07-2023 if PAN becomes inoperative due to non-linking of it with Aadhaar.

How to link Aadhaar number with PAN using e-Filing portal?

Taxpayer is required to login on e-Filing portal using his registered username and password. After login, he will get the “link Aadhaar” option under his ‘Profile Settings’.

Aadhaar number will be linked with PAN if name and date of birth of taxpayer is identical to Aadhaar and PAN.

What is fee for default relating to intimation of Aadhaar number?

The Finance Act, 2021 has inserted a new Section 234H to levy a fee for default in intimating the Aadhaar Number. If a person is required to intimate his Aadhaar under Section 139AA and such person fails to do so, he shall be liable to pay a fee, as may be prescribed, not exceeding Rs. 1,000 at the time of making such intimation.

Therefore, if the person fails to link PAN-Aadhaar by due date, he shall be liable to pay a fee, maximum of Rs. 1,000. This fee shall be in addition to the other consequences the person has to face if PAN becomes inoperative due to non-intimation of Aadhaar.

The CBDT vide notification No. 17/2022, dated 29-03-2022 has amended Rule 114 to prescribe the fees to be levied if Aadhaar is not linked with PAN. As per Rule 114(5A), if a person intimates his Aadhaar number after the due date, then he shall be liable to pay a fee of:

a. Rs. 500, if such intimation is made between 01-04-2022 and 30-06-2022; and

b. Rs. 1,000, in all other cases

How to link Aadhaar number with PAN using SMS facility?

Taxpayer who wants to link their Aadhaar number with PAN is required to send SMS to 567678 or 56161 in following format:

UIDPAN<space><12 digit Aadhaar><space><10 digit PAN>

Example of SMS to 567678 or 56161:

UIDPAN 111122223333 AAAPA9999Q

Aadhaar number will be linked with PAN if name and date of birth of taxpayer is identical to Aadhaar and PAN.

How to link Aadhaar number with PAN?

Aadhaar number can be linked with PAN by any of the two ways:

1. Using SMS facility
2. Using facility on e-Filing portal https://www.incometax.gov.in/iec/foportal

Are there any charges to be paid for obtaining the PAN?

The applicant has to pay a fee of Rs. 93 + GST as applicable, per PAN application. In case, the PAN card is to be dispatched outside India then the fee for processing PAN application is Rs. 864 (Rs. 93 application fees and Rs. 771 dispatch charges)/- will have to be paid by applicant.(plus GST as applicable).

Is there any TATKAL facility for allotment of PAN?

There is no TATKAL Facility for allotment of PAN. However, an Individual may apply for Instant e-PAN. e-PAN facility is for allotment of Instant PAN (on near-real time basis) for those applicants who possess a valid Aadhaar number. PAN is issued in PDF format to applicants, which is free of cost. e-PAN Holds Same Value as Physical PAN Card.

What documents and information have to be submitted along with the PAN application in Form 49A/49AA?

The documents required to be submitted with the PAN application are specified in Rule 114 of the Income-tax Rules. The details of the documents required are also provided in the application form. Individual applicants have to provide document pertaining to proof of identity, proof of address and proof of date of birth. The name of the applicant as mentioned in application form and the name appearing in the documents submitted along with the application should match exactly.

Individual applicants should affix two recent colour photographs with white background (size 3.5 cm x 2.5 cm) in the space provided on the form. The photographs should not be stapled or clipped to the form. The clarity of image on PAN card will depend on the quality and clarity of photograph affixed on the form.

What documents will serve as proof of identity in case of individual/HUF (Hindu Undivided Family) applicants?

Any of the following document will serve as proof of identity in case of individual applicants being Indian citizens (including those located outside India) :

- Copy of following :
  - Aadhaar Card issued by the Unique Identification Authority of India; or
  - Elector's photo identity card; or
  - Driving License; or
  - Passport; or
  - Ration card having photograph of the applicant; or
  - Arm's license; or
  - Photo identity card issued by the Central Government or State Government or

Public Sector Undertaking; or
- o Pensioner card having photograph of the applicant; or
- o Central Government Health Service Scheme Card or Ex-Servicemen Contributory Health Scheme photo card

• Certificate of identity in original signed by a Member of Parliament or Member of Legislative Assembly or Municipal Councilor or a Gazetted officer, as the case may be; or
• Bank certificate in Original on letter head from the branch (alongwith name and stamp of the issuing officer) containing duly attested photograph and bank account number of the applicant.
For HUF, an affidavit made by the Karta of Hindu Undivided Family stating name, father's name and address of all the coparceners on the date of application and copy of any of the above documents in the name of Karta of HUF is required as proof of identity.
In case of Minor, any of the above mentioned documents of any of parents/guardians of such minor shall be deemed to be the relevant proof of identity for the minor applicant.

What documents will serve as proof of address in case of individual/HUF applicants?

Copy of any of the following document will serve as proof of address in case of individual applicants being Indian citizens (including those located outside India) :

- Copy of following :
  - Aadhaar Card issued by the Unique Identification Authority of India; or
  - Elector's photo identity card; or
  - Driving License; or
  - Passport; or
  - Passport of the spouse; or
  - Post office passbook having address of the applicant; or
  - Latest property tax assessment order; or
  - Domicile certificate issued by the Government; or
  - Allotment letter of accommodation issued by Central or State Government of not more than three years old; or
  - Property Registration Document; or
- Copy of following documents of not more than three months old
  - Electricity Bill; or
  - Landline Telephone or Broadband connection bill; or
  - Water Bill; or
  - Consumer gas connection card or book or piped gas bill; or
  - Bank account statement or as per Note given below ; or
  - Depository account statement; or
  - Credit card statement; or

  Note : In case of an Indian citizen residing outside India, copy of Bank Account Statement in country of residence or copy of Non-resident External (NRE) bank account statements (not more than three months old) shall be the proof of address.
- Certificate of identity in Original signed by a Member of Parliament or Member of Legislative Assembly or Municipal Councilor or a Gazetted officer, as the case may be.
- Employer certificate in original.

For HUF, an affidavit made by the Karta of Hindu Undivided Family stating name, father's name and address of all the coparceners on the date of application and copy of any of the above documents in the name of Karta of HUF is required as proof of address.

In case of Minor, any of the above mentioned documents of any of parents/ guardians of such minor shall be deemed to be the relevant proof of address for the minor applicant.

What documents will serve as proof of date of birth in case of individual applicants?

Copy of any of the following document will serve as proof of date of birth in case of individual applicants being Indian citizens (including those located outside India) :

- Birth Certificate issued by the Municipal Authority or any office authorized to issue Birth and Death Certificate by the Registrar of Birth and Death or the Indian Consulate as defined in clause (d) of sub-section (1) of section 2 of the Citizenship Act, 1955 (57 of 1955); or
- Pension payment order; or
- Marriage certificate issued by Registrar of Marriages; or
- Matriculation Certificate; or
- Passport; or
- Driving License; or
- Domicile Certificate issued by the Government; or
- Affidavit sworn before a magistrate stating the date of birth

What documents are to be submitted in case of applicant other than individual/ HUF?

In case of applicant other than individual/HUF, following documents are to be submitted along with the PAN application :

Partnership Firm formed or registered in India	Copy of Certificate of Registration issued by the Registrar of Firms or Copy of partnership deed.
Limited Liability Partnership formed or registered in India	Copy of Certificate of Registration issued by the Registrar of LLPs
Association of Persons (Trust) formed or registered in India	Copy of trust deed or copy of certificate of registration number issued by Commissioner of Income Tax (Exemption).
Association of Person(other than trusts), Body of Individuals, Local Authority, or Artificial Juridical Person formed or	Copy of Agreement or copy of certificate of registration number issued by Commissioner of Income Tax (Exemption) or registrar of cooperative society or any other competent authority or any other document originating from any Central or State Government Department establishing identity and address of such person.

registered in India	

What documents will serve as proof of identity in case of individuals not being a citizen of India?

Copy of following will serve as proof of identity in case of individuals not being a citizen of India :

- Copy of passport, or
- Copy of Person of Indian Origin (PIO) card issued by Government of India, or
- Copy of Overseas Citizen of India (OCI) card issued by Government of India, or
- Copy of other national or citizenship Identification Number or Taxpayer Identification Number duly attested by "Apostille" (in respect of countries which are signatories to the Hague Apostille Convention of 1961) or by the Indian Embassy or High Commission or Consulate in the country where the applicant is located or authorised officials of overseas branches of Scheduled Banks registered in India.

What documents will serve as proof of address in case of individuals not being a citizen of India?

Copy of following will serve as proof of address in case of individuals not being a citizen of India

- Copy of Passport, or
- Copy of Person of Indian Origin (PIO) card issued by Government of India, or
- Copy of Overseas Citizen of India (OCI) card issued by Government of India, or
- Copy of other national or citizenship Identification Number or Taxpayer Identification Number duly attested by "Apostille" (in respect of the countries which are signatories to the Hague Apostille Convention of 1961) or by the Indian Embassy or High Commission or Consulate in the country where the applicant is located or authorised officials of overseas branches of Scheduled Banks registered in India, or
- Copy of Bank account statement in the country of residence, or
- Copy of Non-resident External (NRE) bank account statement in India, or
- Copy of Certificate of Residence in India or Residential permit issued by the State Police Authorities, or
- Copy of Registration certificate issued by the Foreigner's Registration Office showing Indian address, or
- Copy of Visa granted & Copy of appointment letter or contract from Indian Company & Certificate (in original) of Indian address issued by the employer.

What documents will serve as the relevant proofs in case of applicants being entities incorporated outside India/Unincorporated entities formed outside India?

Copy of following will serve as relevant proof in case of applicant being entities incorporated outside India/Unincorporated entities formed outside India :

- Copy of Certificate of Registration issued in the country where the applicant is located, duly attested by "Apostille" (in respect of the countries which are signatories to the Hague Apostille Convention of 1961) or by the Indian Embassy or High Commission or Consulate in the country where the applicant is located or authorised officials of overseas branches of Scheduled Banks registered in India

Copy of registration certificate issued in India or of approval granted to set up office in India by Indian Authorities.

Should married female provide father's name?

While providing the full name, applicant should provide father's name and hence, married female should provide father's name and not husband's name.

Who can apply on behalf of non-resident, minor, lunatic, idiot, and court of wards?

Section 160 of Income-tax Act, 1961 provides that a non-resident, minor, lunatic, idiot, mentally retarded, deceased, wards of court and such other persons may be represented through a Representative Assessee.

In such cases,

- In the application for PAN, details of the non-resident, minor, lunatic, idiot, mentally retarded, deceased, wards of court, etc. should be provided.
- Details of representative assessee have to be provided in item 14 of the application for PAN.

Proof of Identity and Proof of address is also required for representative assessee.

After making the PAN application how can I check the status of my PAN application?

After applying for PAN, one can check the status of his application by using the track status facility available at web sites of Income Tax Department /Protean i.e. Protean

Is it mandatory to file return of income after getting PAN?

Return is to be filed only if you are liable to file return of income under section 139.

It is not mandatory to file return of income after getting PAN.

Should I intimate my PAN to deductor i.e. person deducting tax?

Yes, you should intimate your PAN to the deductor i.e. person deducting tax. From 1st April, 2010, non-furnishing of PAN to deductors results in TDS at much higher rate of 20% or even more.

What is the validity of PAN?

PAN obtained once is valid for life-time of the PAN-holder throughout India. It is not affected by change of address or change of Assessing Officer etc. However, any change in the PAN database (i.e. details provided at the time of obtaining PAN) should be intimated to the Income Tax Department by furnishing the details in the form for "Request For New PAN Card Or/ And Changes or Correction in PAN Data".

How to Apply for PAN Correction ?

Any change in the PAN database (i.e. details provided at the time of obtaining PAN) should be intimated to the Income-tax Department by furnishing the details in the form for "Request For New PAN Card Or/ And Changes or Correction in PAN Data".

PAN correction can be done both online or offline mode.

For offline mode, you are required to submit the "Request For New PAN Card Or/ And Changes or Correction in PAN Data" form at the nearest PAN facilitation centre.

Request For New PAN Card Or/ And Changes or Correction in PAN Data

> Online through protean https://onlineservices.proteantech.in/paam/endUserRegisterContact.html

> Online through UTIITSL https://www.pan.utiitsl.com/csf.html

> Download PDF https://www.incometaxindia.gov.in/Documents/form-for-changes-in-pan.pdf

https://www.incometaxindia.gov.in/Documents/form-for-changes-in-pan.pdf

What is the penalty for not complying with the provisions relating to PAN?

Section 272B provides for penalty in case of default by the taxpayer in complying with the provisions relating to PAN, i.e., not obtaining PAN, even though he is liable to obtain PAN or knowingly quoting incorrect PAN in any prescribed document in which PAN is to be quoted or intimating incorrect PAN to the person deducing tax or person collecting tax. Penalty of Rs. 10,000 under section 272B can be levied for failure to comply with the provisions of section 139A and penalty of Rs. 10000 per default shall be levied for failure to Quote or to Quote invalid PAN.

Can a person hold more than one PAN?

A person cannot hold more than one PAN. If a PAN is allotted to a person, then he cannot apply for obtaining another PAN. A penalty of Rs. 10,000/- is liable to be imposed under Section 272B of the Income-tax Act, 1961 for having more than one PAN.

If a person has been allotted more than one PAN then he should immediately surrender the additional PAN card(s).

By mistake I have been using different PANs for different purposes like one for my demat account and another for filing my Income-tax return and payment of taxes. How do I set this right?

It is advisable to retain only one PAN, preferably the one used for Income-tax purpose and surrender the other number immediately. The institutions where the latter number has been quoted should be informed of the correct PAN.

Whom to contact in case of any matter relating to PAN?

In case of PAN card is not received , contact Protean.

The Income Tax Department or Protean can be contacted in any of the following means

Mode	***Income Tax Department***	***Protean (Formerly NSDL)***
Website	www.incometaxindia.gov.in	https://tinpan.proteantech.in
Call Center	-	08069708080
Email ID	efilingwebmanager@incometax.gov.in	***tininfo@proteantech.in***

Address		4th floor, Sapphire Chambers, Baner Road,Baner, Pune - 411045

How to get area code for my area for allotment of PAN?

It is mandatory to provide the AO Code while applying for PAN and TAN. AO Code (i.e., Area Code, AO Type, Range Code and AO Number) of the Jurisdictional Assessing Officer must be filled up by the applicant. These details can be obtained from following links :

https://tin.tin.nsdl.com/pan/servlet/AOSearch

Click on above link for AO Code of PAN.

https://tin.tin.nsdl.com/tan/servlet/TanAOSearch

Click on above link for AO Code of TAN.

What is E-PAN?

E-PAN is the PAN provided in PDF format rather than physical card. The E-PAN card in PDF format will be sent to e-mail ID mentioned in PAN application form. If the physical PAN Card is not required, then PAN applicant will have to indicate at the time of submission of PAN application. In such cases, Email ID will be mandatory & E-PAN Card will be sent to the PAN applicant at the email ID. Physical PAN Card will not be dispatched in such cases. Charges for E-PAN card is different from physical PAN card.

What is PAN verification?

This functionality helps deductor in verifying whether the PAN provided by the deductee (Tax Payer) is valid as per Income Tax Department database.

What is Instant-PAN?

EIncome-tax Dept. has launched a new functionality on the e-filing portal which allots a PAN to the assessee on basis of his Aadhaar Number.

This facility can be used by an assessee only if the following conditions are fulfilled:

1. He has never been allotted a PAN;
2. His mobile number is linked with his Aadhaar number;
3. His complete date of birth is available on the Aadhaar card; and
4. He should not be a minor on the date of application for PAN

How to get instant PAN using this functionality?

1. Go to https://www.incometax.gov.in/iec/foportal and click on the link 'Instant PAN' through Aadhaar' given on the right hand side
2. Click on 'Get New PAN'
3. Enter the Aadhaar No. of the Applicant
4. Enter the OTP received on the mobile number linked with the Aadhaar No.
5. Validate the Aadhaar Details
6. Validate Email-id
7. Download the e-PAN

What are Consequences for not linking PAN with Aadhaar Number

The Central Board of Direct Taxes has notified Rule 114AAA prescribing the manner and consequences if PAN becomes inoperative. The Rule 114AAA(3) provides that if PAN of a person become inoperative, then he shall be liable for the following consequences:

1. Refund of any amount of tax or part thereof, due under the provisions of the Act shall not be made;
2. Interest shall not be payable on such refund for the period, beginning with the date when PAN become inoperative and ending with the date on which it becomes operative;
3. Where tax is deductible under Chapter XVIIB in case of such person, such tax shall be deducted at higher rate, in accordance with provisions of section 206AA;

Where tax is collectible at source under Chapter XVII-BB in case of such person, such tax shall be collected at higher rate, in accordance with provisions of section 206CC.

However, the person can reactivate his PAN by subsequently intimating his Aadhaar to the Department.

Further, if a person fails to link PAN-Aadhaar by due date, he shall be liable to pay a fee, maximum of Rs. 1,000 under section 234H. If a person intimates his Aadhaar number after the due date, then he shall be liable to pay a fee of:

a. Rs. 500, if such intimation is made between 01-04-2022 and 30-06-2022; and

b. Rs. 1,000, in all other cases

FAQs on Statement of Financial Transactions and Reportable Accounts

What is statement of financial transaction or reportable account (previously called as 'Annual Information Return (AIR)'?

As per section 285BA of the Income-tax Act, 1961 specified entities (Filers) are required to furnish a statement of financial transaction or reportable account (hereinafter referred to as 'statement') in respect of specified financial transactions or any reportable account registered/recorded/maintained by them during the financial year to the income-tax authority or such other prescribed authority.

What are the reportable transactions for purpose of pre-filing return of income?

The CBDT, vide Income-tax (4th Amendment) Rules, 2021, has enhanced the scope of nature of transactions to be reported under Statement of Financial Transaction (SFT) as per Rule 114E.

Now, following 'Specified Financial Transactions' are also required to be reported for the purpose of pre-filling the return of income:

Sl. No.	***Nature and value of transaction***	***Reporting person***
1	Capital gains on transfer of listed securities or units of Mutual Funds	• Recognised Stock Exchange; • Depository as defined in section 2(1)(e) of Depositories Act, 1996;

		• Recognised Clearing Corporation; • Registrar to an issue and share transfer agent registered under section 12(1) of the SEBI Act, 1992.
2	Dividend income	A Company
3	Interest income	• A Banking company or a Co-op. Bank to which the Banking Regulation Act, 1949 (10 of 1949) applies (including any bank or banking institution referred to in section 51 of that Act); • Post Master General as referred to in section 2(j) of the Indian Post Office Act, 1898; • Non-banking financial company which holds a certificate of registration under section 45-IA of the Reserve Bank of India Act, 1934 (2 of 1934), to hold or accept deposit from public.

The Statement in respect to above transactions shall be furnished in the manner specified by the Principal Director General of Income Tax (Systems) or the Director General of Income Tax (Systems), as the case may be, with the approval of the CBDT.

The Statement shall be furnished at such frequency as may be specified by the Principal Director General of Income Tax (Systems) or the Director General of Income Tax (Systems), as the case may be, with the approval of the CBDT.

Who is required to furnish statement of financial transactions and reportable accounts?

Following persons shall be required to furnish statement of financial transactions or reportable accounts registered or recorded or maintained by them during a financial year to the prescribed authority:

(a) an assessee;

(b) the prescribed person in the case of an office of Government;

(c) a local authority or other public body or association;

(d) the Registrar or Sub-Registrar appointed under section 6 of the Registration Act, 1908 (16 of 1908);

(e) the registering authority empowered to register motor vehicles under Chapter IV of the Motor Vehicles Act, 1988 (59 of 1988);

(f) the Post Master General as referred to in clause (j) of section 2 of the Indian Post Office Act, 1898 (6 of 1898);

(g) the Collector referred to in clause (g) of section 3 of the Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013 (30 of 2013);

(h) the recognised stock exchange referred to in clause (f) of section 2 of the Securities

Contracts (Regulation) Act, 1956 (42 of 1956);

(i) an officer of the Reserve Bank of India, constituted under section 3 of the Reserve Bank of India Act, 1934 (2 of 1934);

(j) a depository referred to in clause (e) of sub-section (1) of section 2 of the Depositories Act, 1996 (22 of 1996); or

(k) a prescribed reporting financial institutions

(i) a person, other than those referred to in clause (a) to (k), as may be prescribed

Sl. No.	***Nature and value of transaction***	***Class of person (reporting person)***
1	(a) Payment made in cash for purchase of bank drafts or pay orders or banker's cheque of an amount aggregating to Rs. 10 lakh or more in a financial year. (b) Payments made in cash aggregating to Rs. 10 lakh or more during the financial year for purchase of pre-paid instruments issued by Reserve Bank of India. (c) Cash deposits or cash withdrawals (including through bearer's cheque) aggregating to Rs. 50 lakh or more in a financial year, in or from one or more current account of a person.	A banking company or a co-operative bank
2	Cash deposits aggregating to Rs. 10 Lakh or more in a financial year, in one or more accounts (other than a current account and time deposit) of a person.	(i) A banking company or a co-operative bank (ii) Post Master General
3	One or more time deposits (other than a time deposit made through renewal of another time deposit) of a person aggregating to Rs. 10 lakh or more in a financial year of a person.	(i) A banking company or a co-operative bank (ii) Post Master General (iii) Nidhi Company (iv) Non-banking financial company
4	Payments made by any person of an amount aggregating to— (i) Rs. 1 lakh or more in cash; or (ii) Rs. 10 lakh or more by any other mode, against bills raised in respect of one or more credit cards issued to that person, in a financial year.	A banking company or a co-operative bank or any other company or institution issuing credit card.
5	Receipt from any person of an amount aggregating to Rs. 10 lakh or more in a financial year for acquiring bonds or debentures issued by the company or institution (other than the amount received on account of renewal of the bond or debenture issued by that company).	A company or institution issuing bonds or debentures.

6	Receipt from any person of an amount aggregating to Rs. 10 lakh or more in a financial year for acquiring shares (including share application money) issued by the company.	A company issuing shares.
7	Buy back of shares from any person (other than the shares bought in the open market) for an amount or value aggregating to Rs. 10 lakh or more in a financial year.	A company listed on a recognised stock exchange purchasing its own securities under section 68 of the Companies Act, 2013
8	Receipt from any person of an amount aggregating to Rs. 10 lakh or more in a financial year for acquiring units of one or more schemes of a Mutual Fund (other than the amount received on account of transfer from one scheme to another scheme of that Mutual Fund).	A trustee of a Mutual Fund or such other person managing the affairs of the Mutual Fund
9	Receipt from any person for sale of foreign currency including any credit of such currency to foreign exchange card or expense in such currency through a debit or credit card or through issue of travellers cheque or draft or any other instrument of an amount aggregating to Rs. 10 lakh or more during a financial year.	Authorised person as referred to in clause (c) of section 2 of the Foreign Exchange Management Act, 1999 (42 of 1999).
10	Purchase or sale by any person of immovable property for an amount of Rs. 30 lakh or more or valued by the stamp valuation authority referred to in section 50C of the Act at Rs. 30 lakh or more.	Inspector-General or Registrar or Sub-Registrar appointed under the Registration Act, 1908
11	Receipt of cash payment exceeding Rs. 2 lakh for sale, by any person, of goods or services of any nature (other than those specified at Sl. Nos. 1 to 10 of this rule, if any.)	Any person who is liable for audit under section 44AB of the Act.
12	Cash deposits during the period 9th November, 2016 to 30th December, 2016 aggregating to— (i) Rs. 12,50,000 or more, in one or more current account of a person; or (ii) Rs. 2,50,000 or more, in one or more accounts (other than a current account) of a person.	(i) A banking company or a co-operative bank to which the Banking Regulation Act, 1949 applies (ii) Post Master General as referred to in clause (j) of section 2 of the Indian Post Office Act, 1898
13	Cash deposits during the period 1st of April, 2016 to 9th November, 2016 in respect of accounts that are reportable under Sl.No.12 because cash deposited in this account between 9th November, 2016 to 30th December, 2016 aggregating to— (i) Rs. 12,50,000 or more, in one or more current account of a person; or (ii) Rs. 2,50,000 or more, in one or more accounts (other than a current account) of a person.	(i) A banking company or a co-operative bank to which the Banking Regulation Act, 1949 applies (ii) Post Master General as referred to in clause (j) of section 2 of the Indian Post Office Act, 1898

What is the due date for filing of statement of financial transaction or reportable account by prescribed reporting financial institution?

In order to facilitate effective exchange of information in respect of resident and non-resident, Section 285BA also provides for furnishing of statement by a prescribed reporting financial institution in respect of specified financial transaction or reportable account. The statement shall be furnished for each calendar year in Form No. 61B on or before 31st May of the next year. [For more details, see rules 114F, 114G and 114H of the Income-tax Rules, 1962]

What is the mode and due date for filing of statement of financial transaction or reportable account?

The statement of financial transaction shall be furnished electronically (under digital signature) in Form No. 61A to the Director of Income-tax (Intelligence and Criminal Investigation) or the Joint Director of Income-tax (Intelligence and Criminal Investigation). However a Post Master General or a Registrar or an Inspector General may furnish Form No. 61A in a computer readable media being a Compact Disc or Digital Video Disc (DVD), alongwith the verification in Form-V on paper.

Further, the statement shall be furnished on or before 31st May immediately following the financial year in which the transaction is registered or recorded.

However, the statement of financial transaction in respect of the transactions listed at serial number (12) and serial number (13) in the Table given in aforesaid FAQ, shall be furnished on or before the 31st day of January, 2017.

Is there any remedy available under the act, if a person does not file the statement within the prescribed time?

Section 285BA(5) empower the tax authorities to issue a notice to the person who had not filed the statement within prescribed time. In such a case, the tax authorities may serve upon such person a notice requiring him to furnish the statement within a period not exceeding 30 days from the date of service of such notice and in such a case the person shall furnish the statement within the time as specified in the notice.

What are the consequences of not filing statement of financial transaction or reportable account?

Non-furnishing of statement of financial transaction or reportable account will attract penalty under section 271FA. Penalty can be levied of Rs. 500 per day of default.

However, section 285BA(5) (as discussed earlier) empower the tax authorities to issue a notice to the person directing him to file the statement within a period not exceeding 30 days from the date of service of such notice and in such a case person shall furnish the statement within the time specified in the notice. If person fails to file the statement within the specified time, then a penalty of Rs. 1,000 per day will be levied from the day immediately following the day on which the time specified in such notice for furnishing the statement expires.

Further, with effect from Assessment Year 2023-24, a penalty of Rs. 5,000 would be levied on reporting financial institution if there is any inaccuracy in SFT and such inaccuracy is due to false or inaccurate information submitted by the holder of reportable accounts. The reporting financial institution may also recover such penalty

amount from the holder of the reportable account.

Is there any remedy available under the act, if a person filed inaccurate or defective statement?

If any person, after filing the statement, comes to know or discovers any inaccuracy in the information provided in the statement, he shall inform such inaccuracy to the prescribed income-tax authority within a period of ten days and furnish the correct information in such manner as may be prescribed.

On the other hand, the prescribed income-tax authority may also intimate the defect to the person and give him an opportunity of rectifying the defect within a period of thirty days from the date of such intimation or within such extended period as may be allowed by prescribed income-tax authority.

However, if a person fails to rectify the defect within the said period than the provisions of this Act shall apply as if such person had furnished inaccurate information in the statement.

What are the consequences for furnishing inaccurate statement of financial transaction or reportable account?

If a prescribed reporting financial institution referred to in Section 285BA(1) who is required to furnish statement of financial transaction or reportable account, provides inaccurate information in the statement, and where:

(a) the inaccuracy is due to a failure to comply with the due diligence requirement prescribed* under section 285BA(7) or is deliberate on the part of that person;

(b) the person knows of the inaccuracy at the time of furnishing the statement but does not inform the prescribed income-tax authority or such other authority or agency;

(c) the person discovers the inaccuracy after the statement is furnished and fails to inform and furnish correct information within a period of 10 days as specified under section 285BA(6),

then, the prescribed income-tax authority may direct that such person shall pay, by way of penalty, a sum of fifty thousand rupees.

FAQs on e-Filing and Related Issues

FAQs from income tax India e-Filing portal

To see the FAQs from income tax india e-Filing portal, please visit at https://www.incometax.gov.in/iec/foportal

FAQ on Advance Tax

Is there any compliance if an assessee revises its estimate of income for advance tax?

An assessee can revise the estimation of income and pay advance tax on before the specified due dates without any requirement of filing the estimation of income with the department.

Can estimate of income be revised for the purpose of advance tax?

In case the assesee wants to revise the estimate of income after making payment of first/ second instalment of advance tax, the assesse can revise the remaining instalment of advance tax in accordance with his revised estimate of current income and pay the advance tax accordingly.

What will be the due date for the payment of advance tax if the same is payable by virtue of an order from the Assessing Officer/ Income Tax Officer?

Where advance tax is payable due to the notice of demand issued by Assessing Officer then whole or part of the advance tax is payable in the remaining instalments, i.e., instalments due during the financial year after the date of notice.

Who is not required to pay Advance tax?

- A ***resident senior citizen*** (i.e., an individual of the age of 60 years or above during the financial year) not having any income from business or profession is not liable to pay advance tax.
- Taxpayer who opted for presumptive taxation scheme of section 44AD or section 44ADA is liable to pay 100% of advance tax by 15th March.

Can I claim the deduction of Advance tax payments against my profits?

Advance Tax is not an expense.

- It is considered as an asset and adjusted against one's tax liabilities at the time of finalization of the Balance Sheet.
- It is a charge on income and not considered as an expenditure.
- It is shown under Loans and Advances in the Balance Sheet.

What to do if I forgot to bifurcate the amount of tax, surcharge and Cess while making the online payment?

- Showing the total tax liability as Income tax, Education cess, Surcharge, etc., is advisable.
- However, in the event the bifurcation of tax payment like, income-tax, surcharge, Cess, etc., is not done due to any reason, there is no need to panic.
- While filing the income-tax return just mention the total amount. in income-tax column and that would be sufficient. However, at the time of filing income-tax return, you should fill up the correct bifurcation details and then CPC will check it properly at the time of processing.

What should be kept in mind while making payment of tax ?

While making payment of tax, apart from other things, one should clearly mention following details :

- Head of payment, *i.e.*, Corporation Tax/Income-tax (other than companies)
- Amount and mode of payment of tax
- Type of payment [*i.e.,* Advance tax/Self-assessment tax/Tax on regular assessment/ Tax on Dividend/Tax on distributed Income to Unit holders/Surtax]
- Assessment year – this is a general error that assessees commit as AY is different from Financial year
- The unique identification number called as PAN [Permanent Account Number] allotted by the IT Department.
- The details are displayed on screen and should be confirmed before proceeding with payments.

How to compute advance tax on capital gains income?

Advance tax is payable on total income which includes capital gains and casual income (i.e., income from lotteries, crossword puzzles, etc.).

However, it is practically not possible to estimate the income from capital gain and casual income in advance. Therefore, in such cases it is provided that if any such income arises after the due date of any instalment, then the tax calculated on capital gain and casual income shall be paid in remaining instalments of advance tax which are due.

If the entire amount of advance tax is paid on or before specifed due date then no interest for late payment of advance tax is levied.

In case of advance tax, when is assessee considered as assesse-in-default?

For the purpose of advance tax, an assessee will be considered as assesse-in-default if he:-

1. does not pay the advance tax on receiving the order from Income-tax officer as per the due dates, or
2. does not file an intimation in Form 28A before the instalment due date.

What should we do if the bank is closed on the last day for payment of advance tax?

- Any taxes paid ***till 31st March will*** be treated as advance tax.
- If the last day for the payment of advance tax is the day on which the banks are closed, then one should pay the advance tax on the immediately following working day and no interest shall be charged on such payments of advance tax.However tax can be pay through online mode, through internet banking, debit card etc

Does credit of TDS allowed while calculating advance tax?

As per section 208 of the income-tax Act, 1961, every person whose estimated tax liability for the year is INR 10,000 or more, after TDS (taxes deducted at source), shall pay advance tax.

Therefore, credit of TDS is to be taken while calculating the advance tax liability.

However, if the amount is given or credited by payer without deduction of tax then the benefit of TDS cannot be considered while calculating the advance tax liability.

Who is responsible to file Form 28A?

In case the Assessing Officer's estimation of current income is more than the assesse's estimate then the assessee is required to file an intimation in Form no. 28A giving estimate of income and advance tax.

The estimation is required to be ***filled and signed*** by a person who is authorized to sign a return of income.

- In case of a ***registered firm***, the firm has to submit the estimate of advance tax payable, if any.

- The ***individual partners*** have ***also*** to submit an estimate of the ***advance tax payable by each***partner including therein the share of income from the registered

partnership firm.

- In case of an ***HUF***, which has no member and whose total income of the previous year is likely to exceed the maximum amount not chargeable to income-tax then a declaration is required to be filed from ***all members***.

What is Form 28A?

In case the Assessing Officer's estimation of current income is more than the assesse's estimate then he is required to send an intimation in Form no. 28A giving estimate of such reduced income and advance tax.

The form is prescribed under Rule 39 of the Income-tax Rules (Form No. 28A).

What should I do on receiving the notice from income-tax department for the payment of advance tax, if my actual income is more than what is determined by the tax officer?

Assessing Officer can serve an order requiring the assesse to pay advance tax, if he is of the opinion that such person is liable to pay advance tax.

- However, if you feel that year advance tax liability is lower than the liability calculated by the income-tax officer; you may file an estimation of the income and amount of tax payable thereon

- Such information should be submitted in Form No. 28A to the Assessing Officer

- Alternatively, In case the tax demand calculated by the Income-tax officer is lower than the tax liability computed by you, you should pay the advance tax as per your own computation.

- No intimation to Income-tax officer is required to be made in such cases.

Which tax rates are to be used for computing advance tax liability?

For computing the advance tax liability of the prevailing tax rates or the rates in force of the previous year for which the advance tax is to be computed are to be used.

Click here to calculate Advance Tax Liability

When Assessing Officer is liable to determine the Advance tax liability?

- If a taxpayer who has a legal obligation to pay advance tax fails to make payment for advance tax or advance tax is lower than the correct amount AO may pass an order asking the taxpayer to pay tax on assessee's current year income
- Such order shall clearly specify the amount payable and in number of instalments the same needs to be paid
- Such order should be passed anytime during the previous year but before 1st March, i.e., by 28th February

Computation by the Assessing Officer

- Assessing Officer can serve an order requiring the assesse to pay advance tax if he is of the opinion that such person is liable to pay advance tax or the tax paid is lower
- In such cases, the Officer will take the ***higher of following incomes*** and calculate

the tax as per prevailing rate of income-tax:-

(a)The total ***income*** of the ***latest previous year*** in respect of which ***Officer has assessed income,*** i.e., the year for which an assessment has been completed by the Income-tax Officer,

or

(b) The total ***income declared by the assesse*** in ***any return after the year of assessment by officer***., i.e., Any income furnished by the assessee in Income-tax return for any previous year after

Click here to calculate Advance Tax Liability

What is the procedure for computing advance tax?

Advance tax is liable to be paid in every case where the advance tax payable is Rs. 10,000 or more. A Resident Senior citizen not having any income from business/ profession, is not liable to pay advance tax.

An assessee who opts for the presumptive taxation scheme under section 44AD and section 44ADA is required to pay advance tax related to such business. However, advance tax can be paid during the financial year (immediately preceding to the assessment year) on or before March 15.

The computation of advance tax can be done in the following manner:

Income from salaries		xxx
Income from house property	xxx	
Income from Capital Gains		xxx
Income from Business or Profession	xxx	
Income from other sources		xxx
Gross Total Income		xxx
Less: Deductions under sections 80C to 80U		xxx
Net Income	xxx	
Income Tax on Net Income		xxx
Less: Rebate under section 87A		xxx
Balance	xxx	
Add: Surcharge, if any	xxx	
Total		xxx
Add: Health and Education Cess @4%	xxx	
Total		xxx

Less: Relief under section 89, 90, 90A or 91
xxx

Less: Pre-paid taxes (i.e. advance tax, self -assessment tax, TDS, TCS, MAT/AMT credit) xxx

Advance Tax Liability **xxx**

(The Advance tax calculator is available on www.incometaxindia.gov.in)

Click here to calculate Advance Tax Liability

What is the due date for payment of Advance tax and Self Assessment tax?

(A) Click here to view the step by step guide for payment of taxes.

(B) LAST DATE FOR PAYMENT OF SELF ASSESSMENT TAX

As per section 140(1) , Payment of income-tax on self-assessment should be done by the assessee before the date of filing of return of income. The payment made after the due date of filing return of income attracts interest under section 234A.

(C)LAST DATE FOR PAYMENT OF ADVANCE TAX

(b) The due dates for payment of different instalments of advance tax are as follows :-

(i) For assessees (other than those covered under section 44ADA of the Income-tax Act, 1961)

On or before 15th June	15% of advance tax
On or before 15th Sept	45% of advance tax
On or before 15th Dec	75% of advance tax
On or before 15th March	100% of the advance tax

(ii) For assessees covered under section 44AD and section 44ADA (under presumptive taxation scheme) of the income-tax Act, 1961, are required to pay advance tax on or before 15th Mar

Who is liable to pay Advance tax?

As per Section 208 of the Income Tax Act,

- Every person (individual, firm, company, etc.)
- whose estimated tax liability for the year (i.e., for the year in progress such as FY 2021-22, FY 2022-23, etc.)
- after TDS (i.e., TDS which is deducted for the person by its payers/clients/banks, etc.)
- Is Rs. 10,000 or more
- shall pay its tax for the year in advance during the same financial year
- Such tax shall be paid in instalments
- Individuals, having only salary income are not required to pay advance tax as the liability to deduct and deposit tax is on the employer making such payment in the

form of TDS

Click here to calculate Advance Tax Liability

Can payment of advance tax be made through any bank account?

- It is not necessary to make the payment of taxes from assessee's own account in an authorized bank.
- An assessee can make the payment from account of any person.
- However, the challan for making such payment must clearly indicate the Permanent Account Number of assesse on whose behalf the payment is made.

FAQs on Authority for Advance Ruling/Board for Advance Rulings

Are the Advance ruling, binding on taxpayers or tax authorities?

An advance ruling pronounced by the Authority is binding on the follows :-

- The Applicant.
- The Commissioner.
- Commissioner of Income-tax (Appeals).
- Income-tax authorities who are subordinate to Commissioner
- In respect of transaction for which ruling had been sought

Can I withdraw the Application for Advance Ruling, once I have filed it ?

Yes, you may withdraw the application within 30 days from the date of such application. If you with drawl after such period, you can withdraw it only with the permission of the Authority.

Can I pay the application fees in cash?

No, the application fees payable should be in the form of a demand draft in favour of Authority for Advance Ruling.

What fees is to be paid along with application for advance ruling?

The fees to be paid along with application shall be as follows

Category of case	**Fee**
Amount of transaction(s) does not exceed Rs. 100 crore.	Rs. 2 Lacs
Amount of transaction(s) exceeds Rs. 100 crore but does not exceed Rs.300 crore.	Rs. 5 Lacs
Amount of transaction(s) exceeds Rs. 300 crore.	Rs. 10 Lacs
Other Cases	Rs. 10,000

What are requirements of an application for Advance Ruling?

An applicant desirous of obtaining an advance ruling may make an application in such form and in such manner as may be prescribed :-

- Stating the question on which the advance ruling is sought.

- Application should be in quadruplicate (4 Copy).
- With prescribed fee.

What is the meaning of advance ruling?

Advance ruling means the determination of a question of law or fact specified in the application in relation to tax liability of an applicant arising out of transactions which have been undertaken or proposed to be undertaken.

The Finance Act, 2021 has provided that the Authority for Advance Rulings shall cease to operate with effect from such date, as may be notified by the Central Government in the Official Gazette. Later, the Central Government, vide Notification S.O. 3562(E), dated 01-9-2021, notified September 01, 2021 as the date effect from Authority for Advance Rulings shall cease to operate.

When can a resident apply for an advance ruling?

A resident can apply to AAR for advance ruling in relation to his tax liability only if transaction(s) undertaken or proposed to be undertaken is equal to 100 crores or more

Who can apply for an advance ruling?

"Applicant" can be any person who is :-

1. A non-resident desirous of setting-up a joint venture in India in collaboration with a non-resident or a resident; or.
2. A resident desirous of setting-up a joint venture in India in collaboration with a non-resident; or
3. A resident;
4. Public Sector Company. (PSU)

What is the purpose of Advance rulings?

The purpose of Advance rulings is to provide clarity on important issues to taxpayers, so that they have a clear-cut idea of their tax liability in advance for a given set of transactions.

What does AAR stand for and what are its functions?

AAR means Authority for Advance Rulings set-up by the Central Government for pronouncing advance rulings in respect applications filed before them.

What is Board for Advance Rulings?

The Finance Act, 2021 has inserted a new section section 245-OB to empower the Central Government to constitute one or more Board for Advance Rulings for giving advance rulings on and after the notified date. Every such Board shall consist of two members, each being an officer not below the rank of Chief Commissioner.

The CBDT vide, notification S.O. 3561(E), dated 01-09-2021 notified constitution of Boards for Advance Ruling in Delhi and Mumbai.

How pending application before Authority for Advance Ruling shall be disposed off?

The pending application with the Authority for Advance Ruling in respect of which order has not been passed before the notified date shall be transferred to the Board for Advance Rulings along with all records, documents or material, by whatever name called and shall be deemed to be the records before the Board for all purposes.

What is e-Advance Ruling Scheme 2022

E-advance rulings Scheme, 2022 has been notified by the CBDT vide Notification No. 07/2022, dated 18-01-2022. The Scheme is applicable with effect from 18-01-2022. The Scheme shall apply to the applications of advance rulings made to the Board for Advance Ruling or applications of advance rulings transferred to such Board.

1 2 3

46 Record(s) | Page [3 of 3] in 0 seconds

[As amended by Finance Act, 2025]

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